16-2d Monopolistic Competition and the Welfare of Society

Is the outcome in a monopolistically competitive market desirable from the standpoint of society as a whole? Can policymakers improve on the market outcome? In previous chapters we evaluated markets from the standpoint of efficiency by asking whether society is getting the most it can out of its scarce resources. We learned that competitive markets achieve efficient outcomes (unless there are externalities), whereas monopoly markets entail deadweight losses. Monopolistically competitive markets are more complex than either of these polar cases, so evaluating welfare in these markets is a more subtle exercise.

One source of inefficiency in monopolistically competitive markets is the markup of price over marginal cost. Because of the markup, some consumers who value the good at more than the marginal cost of production (but less than the price) will be deterred from buying it. Thus, a monopolistically competitive market has the normal deadweight loss of monopoly pricing.

This outcome is undesirable compared with the efficient quantity that arises when price equals marginal cost, but policymakers don't have an easy way to fix the problem. To enforce marginal-cost pricing, they would need to regulate all firms that produce differentiated products. Because such products are so common in the economy, the administrative burden of such regulation would be overwhelming.

Moreover, regulating monopolistic competitors entails all the problems of regulating natural monopolies. In particular, because monopolistic competitors are making zero profits already, requiring them to lower their prices to equal marginal cost would cause them to make losses. To keep these firms in business, the government would need to help them cover these losses. Rather than raise taxes to pay for these subsidies, policymakers often decide it is better to live with the inefficiency of monopolistic pricing.

Another source of inefficiency under monopolistic competition is that the number of firms in the market may not be ideal. That is, there may be too much or too little entry. One way to think about this problem is in terms of the externalities associated with entry. Whenever a new firm considers entering the market with a new product, it takes into account only the profit it would make. Yet its entry would also have the following two effects that are external to the firm:

- *The product-variety externality:* Because consumers get some consumer surplus from the introduction of a new product, the entry of a new firm confers a positive externality on consumers.

- *The business-stealing externality:* Because other firms lose customers and profits when faced with a new competitor, the entry of a new firm imposes a negative externality on existing firms.

Thus, in a monopolistically competitive market, the entry of new firms entails both positive and negative externalities. Depending on which externality is larger, a monopolistically competitive market could have either too few or too many products.

Both of these externalities are closely related to the conditions for monopolistic competition. The product-variety externality arises because new firms under monopolistic competition offer products that differ from those of the existing firms. The business-stealing externality arises because monopolistically competitive firms post a price above marginal cost and, therefore, are always eager to sell additional units. Conversely, because perfectly competitive firms produce identical goods and charge a price equal to marginal cost, neither of these externalities exists under perfect competition.

In the end, we can conclude only that monopolistically competitive markets do not have all the desirable welfare properties of perfectly competitive markets. That is, the invisible hand does not ensure that total surplus is maximized under monopolistic competition. Yet because the inefficiencies are subtle, hard to measure, and hard to fix, there is no easy way for public policy to improve the market outcome.

QuickQuiz

3. A monopolistically competitive firm will increase its production if

    a. marginal revenue is greater than marginal cost.

    b. marginal revenue is greater than average total cost.

    c. price is greater than marginal cost.

    d. price is greater than average total cost.

4. New firms will enter a monopolistically competitive market if

    a. marginal revenue is greater than marginal cost.

    b. marginal revenue is greater than average total cost.

    c. price is greater than marginal cost.

    d. price is greater than average total cost.

5. What is true of a monopolistically competitive market in long-run equilibrium?

    a. Price is greater than marginal cost.

    b. Price is equal to marginal revenue.

    c. Firms make positive economic profits.

    d. Firms produce at the minimum of average total cost.